

24STCV15242 24STCV15242

County: los-angeles

Division: Civil Law and Motion

Department: 510

Hearing date: 2026-09-04

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Case Number: 24STCV15242 Hearing Date: September 4, 2026 Dept: 510

No. 7 – DoctorNow, Inc. v. Blue Shield, et al.

Plaintiff DoctorNow, Inc.'s Motion for Leave to File a Third Amended Complaint

Plaintiff DoctorNow, Inc. moves for leave to file a third amended complaint.

Plaintiff seeks to make the following four amendments:

1. Add allegations regarding a new November 2021 email uncovered in discovery, subsequent overpayment demands, and recovery activity
2. Delete the unfair competition law claim
3. Restate the existing fraud claim as two fraud claims for intentional misrepresentation and fraudulent concealment
4. Add claims for Penal Code section 496(c) and conversion

Defendants only oppose the third and fourth amendments.

Code of Civil Procedure section 473(a)(1) provides, "The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading." Courts exercise their discretion "liberally to permit amendment," and "[t]he policy favoring amendment is so strong that it is a rare case in which denial of leave to amend can be justified." (Howard v. County of San Diego (2010) 184 Cal.App.4th 1422, 1428.) A motion for leave to amend will normally be granted unless (a) the party seeking to amend has delayed bringing the proposed amendment; and (b) the delay in seeking leave to amend will cause prejudice to an opposing party. (Hirsa v. Superior Court (1981) 118 Cal.App.3d 486, 490.)

Defendants argue that restating the current fraud claim as two separate claims for intentional misrepresentation and fraudulent concealment is unnecessary, as the current fraud claim encompasses both theories. While the Court understands this argument, Defendants do not identify any harm flowing from separating these claims into two distinct theories. Given the liberal policy favoring amendment, the Court will permit this amendment.

Defendants also argue that the addition of the 496(c) and conversion claims would prejudice them due to the upcoming September 22, 2026 trial date.

The Court will grant Plaintiff leave to file the third amended complaint to add these claims. Here, Plaintiff did not delay in bringing this proposed amendment. Rather, the theories arose from new discovery produced by Defendants in July 2026 in response to the Court's June 18, 2026 discovery order compelling them to produce further responses. These documents revealed Defendants' reversal and retention of monies that they previously paid Plaintiff on already-adjudicated claims. As pled, Plaintiff's 496(c) and conversion claims rely on these newly produced documents.

In addition, it is not apparent that these amendments will cause prejudice to Defendants. While the Court recognizes that trial is fast approaching, these amendments do not materially expand the scope of the case. The relevant witnesses, documents, and damages at issue remain the same. These amendments should not require another trial continuance. Moreover, Defendants do not identify any specific prejudice that would result from these amendments, instead only generally referring to the introduction of new elements of proof and remedies that will "require new discovery, new testimony, new jury instructions, and other items." (Opp., at p. 4.) Defendants do not identify what other discovery or depositions would need to be conducted. The Court is sympathetic, though, to Defendants position given these last-minute additions, and is open to allowing necessary discovery by Defendants and continuing trial beyond the one month to which the parties have stipulated, given the prospect for recovery of treble damages for violation of Penal Code section 496(c).

Lastly, Defendants argue that adding these claims would be futile. The Court declines to address this argument here. In ruling on a motion for leave to amend, courts generally do not consider the amended pleading's merits. (*Atkinson v. Elk Corp.* (2003) 109 Cal.App.4th 739, 760.) Whether a cause of action is stated can be addressed on demurrer.

Disposition

Plaintiff DoctorNow, Inc.'s motion for leave to file a third amended complaint is granted. Plaintiff is ordered to file the proposed third amended complaint forthwith. Defendant is permitted to conduct discovery regarding the new allegations and causes of action even though the discovery cutoff has otherwise passed.